

competitors, and its industry. Every investor is able to instantaneously call up financial statements for thousands of companies; Wall Street research reports on thousands of publicly traded firms are also readily available. Widely disseminated information confers no particular edge unless it is analyzed in differentiated ways; unique sources of information are hard to come by in a highly competitive world.

The intensified competition for investment insights makes it crucial for investors to consistently exhibit deep humility. The irony of the information age is that you can know more than you ever did before, and perhaps more than anyone ever did before, yet that wealth of information is less useful now, because it confers upon you no particular edge. Everybody knows what you know. Indeed, a naive approach based solely on using company financials to screen for opportunity could well be a sucker bet. Warren Buffett often notes that investing can be like playing poker, in one important sense. At a poker table, if you look to your left and to your right and you can't identify the patsy, the mark, the rube who has been invited to the game by the more experienced players, then it's probably you. Every investor should be worried by that thought and should work assiduously to never find themselves in that position.

Even if you could find shares in overlooked companies available below likely liquidation value, benefiting from their mispricing has become far from a sure thing, because liquidation value has become increasingly murky. Companies are not easily or frequently liquidated; all liabilities, including off-balance sheet and contingent ones, must be extinguished before liquidation proceeds are distributed to shareholders, whose interests are subordinated. Rent must be paid under leases that may extend well into the future. Employees may have been promised deferred compensation or termination benefits. Products may have extended warranties. Underfunded pension plans must be funded. Also, many companies that seem potentially